of the border incidents. Besides, China is a factor in India's calculus in many other respects as well. The relationship clearly must be reset, a task that can't be achieved without high-level political engagement between the two sides, which has not taken place for over three years.

Secondly, a new Asian and global economic order is in the process of being born, accelerated by the COVID pandemic and the war in Ukraine. In Asia, the RCEP, which excludes India, forms the world's largest trading bloc. China is now the largest trading partner of all Asian countries, barring Afghanistan and Bhutan. New patterns of China-centred physical, digital and financial connectivity are being put in place by the Belt and Road Initiative (BRI), Asian Infrastructure and Investment Bank (AIIB) and New Development Bank (NDB) and other initiatives. Global manufacturing value and supply chains, which accounted in large part for accelerated growth during the globalisation decades, have been getting shorter for about five years. They are being onshored by China and the US, and protectionism, in the name of climate change and other pretexts, is rising. In this situation, if India is to return to the high growth trajectory of the first decade of this century, we need to increase our engagement with the global economy rather than walk away from RCEP and the trade leg of the Indo-Pacific Economic Framework (IPEF), raising tariffs for five years running to an effective tariff rate that is the highest in southern and east Asia.

The third challenge is partly a domestic one, of coherence and cohesion to deal successfully with the more difficult international environment. All successful rising powers in history have bided their time and worked with the existing order; have built a persuasive narrative internally and externally to explain and gain support for their rise and have waited for their power to match their ambition before revealing it and seeking to remake the order in their favour. Today, we are in a world between orders, and India is surrounded by geopolitical hotspots right through maritime Asia from the East China Sea to Taiwan to the South China Sea to the India-China border to Yemen and so on. This makes India's geopolitical positioning and choices harder.

FOUR OPPORTUNITIES

And yet a time of change and crisis is also a time of opportunity. It is a chance to do things that are recognised as necessary but hard during normal times, as we saw with reforms in 1991.

A world between orders is one where the rules and habits of a new order are still being negotiated and worked out in the international system. This is an opportunity for countries like India to encourage the development of an order more favourable to our aspirations than the previous one, particularly in new domains such as cyber space.

> ONE OUTCOME OF THE **CHINA-US RIVALRY** IS THE **GROWING STRATEGIC CONGRUENCE** BETWEEN THE US AND INDIA

The fact that the China-US strategic rivalry is now structural and likely to last despite attempts to ameliorate it tactically at times, offers other powers opportunities for geopolitical balancing. We have seen how a large number of countries looked for a third way on the Ukraine crisis and hesitated to choose one side or another. We see hedging and balancing behaviour between China and the US in Southeast Asia and among China's neighbours, most of whom are happy to gain economically from China while relying on the US for their security.

One beneficiary of a world of great power rivalry is India's relationship with the US. The US now looks at India differently. For India, the US is an essential partner in our transformation, and not just one who shares some of our concerns about China's chosen course. The growing strategic congruence between the two countries is reflected in the deepening relationship in defence and maritime security, politics and in new formations such as the Quad, IPEF (Indo-Pacific Economic Framework for Prosperity) and others. Increasing congruence suggests this partnership will grow in 2023, particularly if it can be meaningfully extended to realising the complementarity between the two economies.

Another opportunity lies closer to home in the subcontinent. There is opportunity for India to work with our partners to put in place economic instruments like payments systems and connectivity that can help address the economic and political crisis that some of our neighbours are facing. A crisis, such as the one that has led three subcontinental governments to approach the IMF and five governments to change in the past year and a half, is a chance to do things that we all know are needed but which domestic politics do not always permit in normal times.

The other opportunity is to work to create a new Asian political balance that is more favourable to the concerns of the Global South. Already, many of us in maritime Asia are cooperating in ways that were inconceivable two decades ago. We need to expand our work with countries like Japan, Vietnam, Indonesia, Singapore and others in the Indo-Pacific to ensure that Asia remains open, plural and inclusive, as she has been throughout history.

Thus, while some geopolitical forecasts for 2023 may appear bleak, India has faced worse before, and has responded creatively, turning crisis into opportunity. It will take new policies and different attitudes, but I am confident that India can do it again. ■